

periods of time. As a result, they end up holding their properties through thick and thin, which is why they are able to see an appreciation in the value. In contrast, in equity, investors typically end up buying at the peak, trade frequently and then exiting at the bottom. The harshness of most investors' experience of the stock market versus their happier experience in real estate is, therefore, in part self-inflicted rather than being due to the underlying nature of these asset classes.

Chalk and cheese: Commercial real estate versus residential real estate

Commercial real estate also has two sets of buyers: the end-users and the investors. With end-users, it is a simple equation. For them, real estate is simply a capital expenditure or a cost which has to be incurred, and these costs have to be seen relative to the return that the business generates. If businesses don't want to incur the heavy upfront cost associated with real estate, they end up renting the premises or moving to a cheaper location. On the other hand, for investors, commercial real estate is a really interesting asset class as it offers a mix of rental yield and capital appreciation.

For most affluent investors, investment in commercial real estate is in the form of shops, office units and small warehouses. This mimics their residential realty investment style in the size and locality of investments. Ultra HNW investors also have access to what are called the 'Grade A' office buildings. Grade A offices are large, modern and top-of-the-line buildings, typically built in the most prime locations. These are typically occupied by blue-chip Indian corporates or multinationals and are the benchmark of commercial realty in any country. Thus, one would measure growth in a Grade A property area to ascertain how commercial property as an asset class is doing. However, the ticket sizes associated with such deluxe office buildings are large—in Mumbai it is upward of Rs 10–20 crore for a single floor plate.⁵ Hence, the key investors in these types of properties are large Indian developers (like Raheja, Embassy, Prestige Estates and DLF) or very large foreign funds (like GIC, Blackstone, Brookfield and Canadian Pension